EQUITY RESEARCH

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September 10, 2026

BioCryst Pharmaceuticals, Inc.

Competitor Data Adds Uncertainty Around Orladeyo Tail; Downgrading to Sector Perform

Our view: Following stronger-than-expected data from PHVS's competing oral agent deucrictibant XR, we engaged with several high-volume HAE KOLs at academic centers and sense that there may be more physician interest in switching pts off Orladeyo than consensus numbers (and our prior ests.) would imply. Though we remain positive on LAI navenibart's potential to drive another leg of growth, taking our LT Orladeyo revenue tail to $400-450M/yr from $500-550M/yr brings our fundamental fair value est. to $11/shr, and with navenibart data likely still a year away and the impending deucrictibant XR launch likely to cap upside pull-throughs on quarterly beats, we expect BCRX shares to settle into an in-line trading range NT. Downgrade to SP.

Key points:

Our post-data channel checks suggest the higher-than-expected HAE attack rate reductions shown with PHVS's deucrictibant XR will likely make Orladeyo's medium-term entrenchment less sticky. We believe that PHVS's XR data were impressive – with the 83% monthly attack rate reductions coming in higher than many had anticipated – and our post-data checks with a handful of high-volume HAE docs at academic centers suggest high levels of positivity around the data and around potential utilization of XR if available. We now est. ~30% net Orladeyo out-year erosion due to XR, which closely aligns with the ~35% that we had found in our prior survey of ~30 US HAE specialists. We do acknowledge that docs can convey greater enthusiasm for new product uptake than actually occurs and that pts doing well on Orladeyo could be reticent to switch, though we also note market conversion has been common in the HAE space. In addition to switching, we have consistently heard that XR would likely be the front-line treatment of choice for prophy-naive patients, which we think will be additionally unfavorable for the current natural Orladeyo equilibrium of starts/dropouts. We acknowledge that an unknown is if LFTs seen with XR end up being more of a prominent issue, though docs we have engaged with have not sounded overly concerned about this.

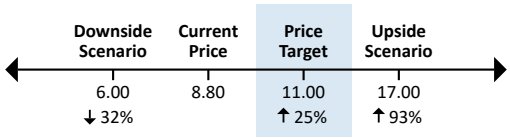
While we expect Orladeyo to remain solid in the immediate term, with some growth propelled by pediatric expansion, resulting stock appreciation may be capped by the overhang of the PHVS launch. We believe Orladeyo is likely to continue growing in the near term (we est. 2026 sales of $632M, approximating $636M cons.), with some growth propelled by the pediatric launch, which appears to be off to a solid start. However, 2Q26 sequential patient growth had appeared a bit softer to us – suggesting potential pressure from other recently launched competitors – and we could see anticipation among the HAE community for a potentially more effective oral prophy drug launch (we est. 2028) impact near-term patient enthusiasm for Orladeyo, so we continue to anticipate some slowing growth (we est. 2027 sales of $658M vs. $724M cons.). ***Continued on page 2...***

Sector Perform (prev: Outperform)

NASDAQ: BCRX; USD 8.81

Price Target USD 11.00 ↓ 13.00

Scenario Analysis*



*Implied Total Returns

Key Statistics

Shares O/S (MM):	254.5	Market Cap (MM):	2,241
Dividend:	0.00	Yield:	0.0%
		Avg. Daily Volume:	3,268,299

RBC Estimates

FY Dec	2025A	2026E	2027E	2028E
EPS, Ops Diluted	1.21	(2.37)	0.29	0.26
Prev.				0.35
Revenue	874.8	699.9	681.4	668.4
Prev.				696.5

EPS, Ops Diluted	Q1	Q2	Q3	Q4
2025	0.00A	0.02A	0.06A	1.12A
2026	(2.98)A	0.30A	0.06E	0.08E
Revenue				
2025	145.5A	163.4A	159.4A	406.6A
2026	156.4A	218.3A	161.9E	163.4E

All values in USD unless otherwise noted.
Priced as of prior trading day's market close, EST (unless otherwise noted).

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(Continued from cover)... Our recent doc feedback suggests that switching to XR from Orladeyo could occur rapidly – we now model that Orladeyo market share could erode ~30% from 2027 peak within 4 years, with sales of ~$450M in 2031 (vs. cons. $892M), after which we see sales stabilizing into the out-years.

Feedback remains positive on the long-acting injectable opportunity for navenibart, and validated target and construct help PoS, but data still likely some ways away. We have been positive on BCRX's Astria acquisition for navenibart, which targets a validated kallikrein pathway and where prior data has been strong – despite small n – and suggestive of potential Q3-6 month administration. Our doc checks have similarly indicated high levels of excitement in the long-acting injectable agent, with our recent survey finding that docs would consider switching ~33% of their HAE patients currently well-managed on other injectables to navenibart, which we est. will achieve $542M in out-year sales. That said, it will be some time before de-risking ph.III data (3Q27), and we will likely see Orladeyo commercial erosion before navenibart's potential launch; we also believe that the greater Orladeyo commercial risks now place more pressure on strong navenibart results that compete well with other emerging LAIs for BCRX to optimally maintain their HAE franchise.

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Exhibit 1 - BCRX Income Statement

BCRX Income Statement ($ in thousands except price)	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Orladeyo Total U.S. and ex-US sales	$ 601,839	$ 148,347	$ 158,202	$ 161,935	$ 163,381	$ 631,774	$ 658,065	$ 635,052	$ 563,246	$ 506,852	$ 477,332	$ 476,337	$ 475,254	$ 474,086	$ 472,837
Orladeyo US sales	548,553	144,234	154,277	157,676	159,107	615,294	640,016	616,005	542,391	484,038	452,404	449,131	445,601	441,809	437,751
Orladeyo EU sales (sold to NG)	39,080	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Orladeyo Int'l Sales	5,595	1,490	1,291	1,583	1,598	5,963	6,425	6,457	6,490	6,522	6,555	6,587	6,620	6,653	6,687
Orladeyo JPN royalties	8,935	2,590	2,576	2,676	2,676	10,518	11,623	12,590	14,366	16,292	18,373	20,618	23,033	25,624	28,399
Navenibart Total U.S. and ex-US sales							-	29,343	120,402	212,353	297,221	374,278	439,656	498,508	541,700
Navenibart U.S. sales							-	29,343	115,904	203,594	283,876	356,333	417,149	471,658	510,558
Navenibart EU royalties								-	1,393	4,859	8,641	12,429	16,172	19,688	23,144
Navenibart Int'l sales								-	3,105	3,900	4,704	5,515	6,335	7,162	7,998
Netherton U.S. and EU sales (prob-weighted)	-					-	-	-	4,016	9,148	13,846	18,659	22,921	27,035	31,046
Rapivab/Rapiacta sales	28,700		4,348			4,348									
Royalty revenue/Milestones	243,980	3,016	55,700			58,716	14,300								
Collaborative and other R&D	318	5,050				5,050	9,000	4,000	89,000	4,000	74,000	4,000	29,000	4,000	29,000
Total revenues, net	**874,837**	**156,413**	**218,250**	**161,935**	**163,381**	**699,888**	**681,365**	**668,396**	**776,664**	**732,353**	**862,399**	**873,274**	**966,831**	**1,003,629**	**1,074,583**
Costs of goods	19,075	5,377	3,840	3,358	3,387	9,832	13,688	16,070	22,977	29,304	36,072	42,707	48,282	53,283	56,875
Acquired in-process research and development		697,761				697,761									
Research and development (incl SBC)	166,126	60,319	51,969	53,528	56,204	222,021	213,577	202,898	208,985	213,165	217,428	221,777	226,212	230,736	235,351
Selling, general and administrative (incl SBC)	348,647	94,554	63,976	65,895	67,872	292,297	271,489	279,633	285,226	290,930	296,749	302,684	308,738	314,912	321,211
Total operating expenses	**533,848**	**858,011**	**119,785**	**122,781**	**127,463**	**1,221,911**	**498,754**	**498,601**	**517,188**	**533,399**	**550,249**	**567,168**	**583,232**	**598,932**	**613,437**
Total operating expenses (less SBC, non-GAAP)	**448,782**	**102,173**	**105,093**	**110,021**	**115,703**	**432,991**	**442,610**	**438,247**	**453,816**	**466,859**	**480,381**	**493,807**	**506,203**	**518,051**	**528,512**
Income/loss from operations	**340,989**	**(701,598)**	**98,465**	**39,153**	**35,918**	**(522,023)**	**182,611**	**169,795**	**259,476**	**198,953**	**312,150**	**306,106**	**383,599**	**404,698**	**461,146**
Interest and other income	13,335	2,256	2,434	2,920	3,166	10,776	11,783	12,252	12,446	12,666	13,579	15,806	18,514	21,070	23,332
Interest expense (includes royalty)	(78,872)	(19,779)	(21,712)	(24,372)	(16,871)	(82,735)	(108,169)	(102,611)	(58,376)	(48,878)	(40,951)	(39,125)	(39,357)	(39,611)	(39,887)
Gain (loss) on foreign currency derivative	(152)	(225)	27	27	27	(144)	(144)	(144)	(144)	(144)	(144)	(144)	(144)	(144)	(144)
Loss on extinguishment of debt	(17,332)														
Other income (expense)	9,423	(1,462)	260												
Net pre-tax income	**267,391**	**(720,808)**	**79,474**	**17,728**	**22,240**	**(594,126)**	**86,081**	**79,292**	**213,402**	**162,597**	**284,634**	**282,643**	**362,611**	**386,013**	**444,447**
Income tax provision	3,530	1,004	1,079	1,079	1,079	4,241	-	1,586	10,670	21,138	51,234	59,355	76,148	81,063	93,334
Net income (loss)	**263,861**	**(721,812)**	**78,395**	**16,649**	**21,161**	**(598,367)**	**86,081**	**77,706**	**202,732**	**141,460**	**233,400**	**223,288**	**286,463**	**304,950**	**351,113**
Earnings per share (GAAP, includes SBC)	**$1.21**	**($2.98)**	**$0.30**	**$0.06**	**$0.08**	**($2.37)**	**$0.29**	**$0.26**	**$0.68**	**$0.47**	**$0.76**	**$0.72**	**$0.92**	**$0.97**	**$1.10**
Shares Outstanding (Basic)	209,893	242,258	254,481	255,181	255,881	251,950	254,950	257,950	260,950	263,950	266,950	269,950	272,950	275,950	278,950
Shares Outstanding (Diluted)	218,581	252,625	265,165	265,548	266,248	262,397	293,963	296,963	299,963	302,963	305,963	308,963	311,963	314,963	317,963

Source: Company reports; RBC Capital Markets estimates

Cash Flow Tracker															
Cash/equivalents at beginning of year		$337,500	$260,756	$353,985	$383,393		$416,314	$499,538	$558,599	$635,703	$714,704	$893,971	$1,186,620	$1,521,112	$1,902,943
Net Cash Used in Operating Activities		(721,812)	78,395	16,649	21,161		86,081	77,706	202,732	141,460	233,400	223,288	286,463	304,950	351,113
Raises/Payments							(50,000)	(75,000)	(100,000)	(125,000)	(50,000)				
Price (Actual or Assumption)															
# of Additional Shares		*37,300*													
Amortization/Stock-based comp		645,068	14,834	12,760	11,760		47,144	56,354	(25,628)	62,541	(4,132)	69,361	48,029	76,881	55,925
Net Cash End of Year/Quarter		260,756	353,985	383,393	416,314		499,538	558,599	635,703	714,704	893,971	1,186,620	1,521,112	1,902,943	2,309,981

Source: RBC Capital Markets estimates; Company reports

Exhibit 2 - BCRX Pipemile

Milestones		
Product	**Event**	**Timeline**
Orladeyo	Orladeyo commercial uptake	2026+
Navenibart	Topline data from ph.III trial	3Q27
BCX17725	Data from part 4 in Nethertons patients (MAD 12 wks)	4Q26

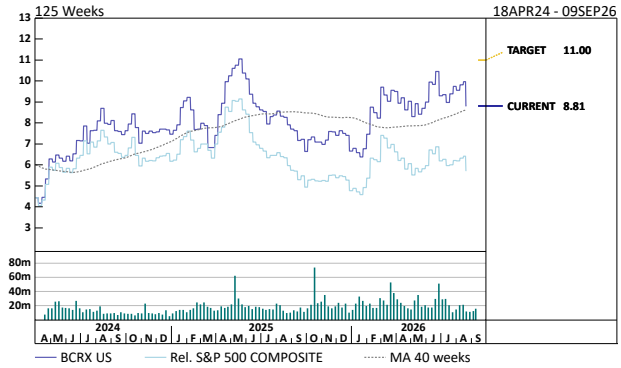
Pipeline		
Product	**Indication**	**Status**
Orladeyo (berotralstat)	HAE - Prophylaxis, Pediatrics	Marketed (U.S., EU), Regulatory
Rapivab (peramivir) (CSL)	Influenza	Marketed (U.S.)
BCX17725	Netherton syndrome	Phase I ready

Source: RBC Capital Markets estimates; Company reports

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Target/Upside/Downside Scenarios

BioCryst Pharmaceuticals, Inc.



Source: Bloomberg and RBC Capital Markets estimates for Target

Valuation

Our $11 price target blends DCF (using a 10.5% discount rate and a 1.5% terminal growth rate) and probability adjusted multiples (30x on 2035E adjusted EPS discounted at 10.5%) analyses. Our price target supports a Sector Perform rating.

Upside scenario

Orladeyo shows greater-than-expected long-term commercial uptake and durability, clinical success for navenibart, and/or setbacks for competitors would increase our estimated out-year revenue potential for BCRX. In such an upside scenario, we believe fair value, based on DCF and multiples analyses, could be ~$17/share.

Downside scenario

Should Orladeyo uptake slow, competitive erosion be greater than expected, a safety or efficacy issue emerges for navenibart, or ’17725 fails, our downside scenario suggests that BCRX shares would trade lower, near ~$6/share.

Investment summary

Commercial metrics of Orladeyo remain consistent since its launch, and its attributes as an orally administered option could enable patient retention and further uptake, though we see likely market share erosion due to potential 2028 launch of oral competitor deucrictibant XR, which had demonstrated compelling efficacy in its pivotal trial. We have sensed high enthusiasm for BCRX's long-acting injectable, navenibart, and we see that asset helping to offset Orladeyo erosion, though we believe that shares adequately reflect the risk/reward into pipeline readouts and other competitive risks.

Key positives: (1) Orladeyo is currently the only branded oral for HAE; and (2) other prophylactic HAE drugs have sales of > $500M/year, highlighting the opportunity.

Potential catalysts: (1) Updates to ongoing launch of Orladeyo in HAE (2026+); (2) Netherton updates from part 4 MAD trial (YE-'26); (3) topline data from navenibart ph.III (3Q27)

Risks to rating and price target

Key risks: (1) HAE is an increasingly crowded space, limiting market share potential; (2) Orladeyo shows efficacy comparable to Cinryze but significantly lesser activity than other HAE drugs, which could reduce its ultimate uptake; and (3) Netherton program remains high-risk; (4) clinical or regulatory setbacks with competitor oral program could result in meaningful upside.

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Key fundamental questions

	Our view
How are the company's products differentiated?	BCRX launched Orladeyo, an oral prophylactic treatment for HAE, to compete against what are mostly injectable alternatives, and it is also developing BCX17725 for Netherton syndrome, along with other oral complement inhibitors.
What is the next event for BCX17725 in Netherton syndrome?	The company initiated its first-in-human trials at the end of 2024, with PoC data set expected to follow in 2026.
What are some medium- to longer-term concerns with marketed Orladeyo?	Orladeyo's efficacy is inferior to that of other products including Takhzyro and, accordingly, may not see sustained growth in patients, especially those with moderate-to-severe disease. Mild patients, particularly those who are not on treatment, may be better candidates, but they may also be more difficult to identify.

Key sustainability questions

This section is intended to highlight key sustainability discussion points relevant to this company, as well as our views on the outlook. Both the questions we highlight and our responses will evolve over time as the dialogue between management, analysts and investors continues to advance. We welcome any feedback on the topics.

	Our view
What are the most material sustainability issues facing this company?	BCRX faces sustainability issues related to manufacturing, data transparency, clinical trial conduct, and drug pricing that are similar to other comparable biopharma companies.
Does the company integrate sustainability considerations into its strategy?	To our knowledge, management makes clear the company's corporate governance policies and priorities, though we are not aware of the extent to which sustainability initiatives such as GRI standards are incorporated into strategic decisions.
What is diversity like at the board/ management level?	Diversity is in line with other similar companies. Specifically, five of the fourteen senior leaders are women or minorities and four of the eleven board members are women.
Is BCRX developing products to address a significant public health problem?	Yes, BioCryst is developing and marketing assets to treat rare diseases with substantial disease burden.
How does the company manage data transparency?	The company releases scientific data to a critical and educated audience often in public and peer-reviewed forums. Corporate governance documents outlining policies and procedures are made available.

Company description

BioCryst, located in Durham, NC and Birmingham, AL, discovers and develops small-molecule drugs using biology, crystallography, medicinal chemistry, and computer modeling. The company's lead drug is Orladeyo for hereditary angioedema. BioCryst's first approved drug, Rapivab, for influenza, is marketed by Seqirus/CSL.

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Conflicts disclosures

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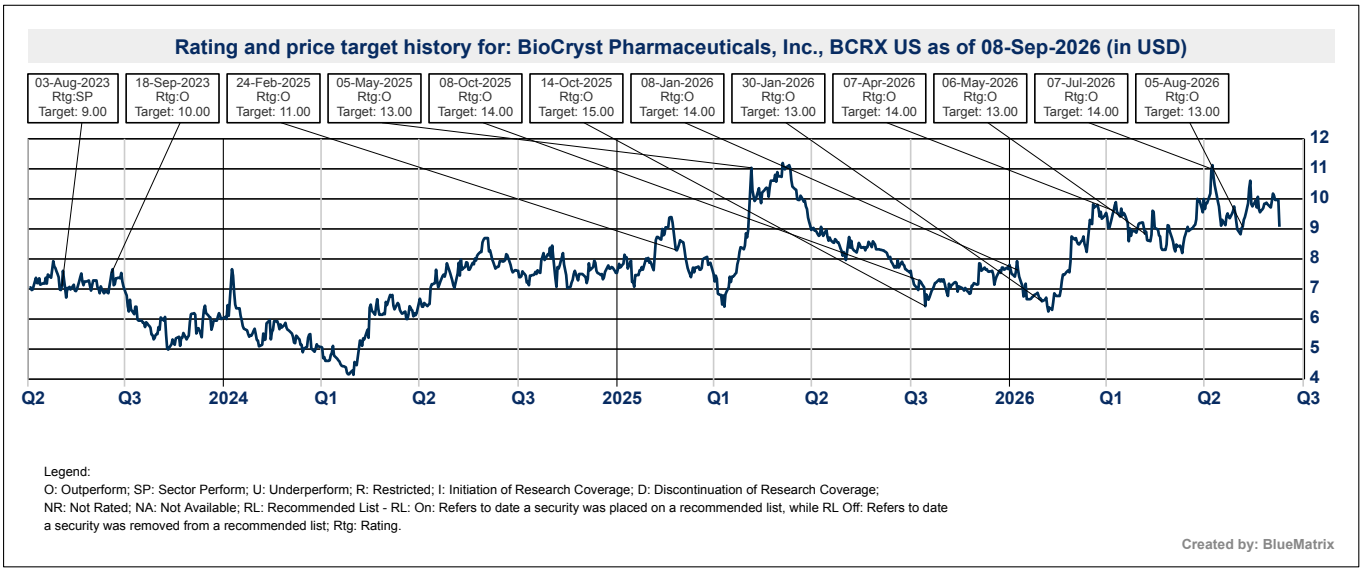
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			Investment Banking Serv./Past 12 Mos.	
Rating	**Count**	**Percent**	**Count**	**Percent**
BUY [Outperform]	927	57.94	290	31.28
HOLD [Sector Perform]	626	39.12	161	25.72
SELL [Underperform]	47	2.94	3	6.38



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BioCryst Pharmaceuticals, Inc.

Valuation

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